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The court has before it the trustee's motion for authority to accept the offer of sale as to two of the properties. The motion is supported by the defense but opposed by plaintiffs.

The gist of the issue is this. There is a buyer, Hankey, who has offered to purchase two properties for a total of \$110 million. Of that, \$80 million will be paid up front. The remaining \$30 million will be a carryback mortgage. The \$80 million will be used for two purposes: (1) to pay any existing debts on the properties, including the JPMorgan loan and the PMF loan; and (2) to complete the construction of the four properties still not completed (two of which are the ones being sold). The \$80 million will bear interest in favor of the buyer at a below market rate until such time as the deal closes. The trustee's view is that this proposal minimizes risk to the properties because it assures a ready and liquid source of cash sufficient to pay off all debts (other than Bobs) and also to complete construction. While there are contingencies, the receiver does not believe that they are risky ones. For example, the receiver is confident that the work can in fact be completed properly and timely, and also that the required permit for the tennis courts will be forthcoming. The remaining two properties are not part of the deal, but they will be available for sale once completed. The combination of the sale proceeds from the other two homes, anything left unspent of the \$80 million, and the \$30 million carryback as it is repaid will be available to repay Bobs and any later incurred debts, with the final balance going to the 600 Spring. The receiver has stated that if the court does not approve the Hankey deal, Hankey intends to rescind the offer. The court is not sure what, if any, provision is being made to set aside any money for Bobs relating to these two properties. The court will inquire as to

that.

Bobs proposes an alternative deal. Bobs has agreed to fund the remaining construction, including any overruns beyond any budgeted amounts. Bobs will fund that construction at no interest and will not even add those costs to its principal loan balance—in essence, Bobs agrees that it will complete the work on its own nickel. However, Bobs has two conditions that remain sticking points. The first is that Bobs will have an initial fund of \$65 million that it will control. It will then use \$3 million of that to a fund that can be used for construction. If and when that fund dips below \$500,000, Bobs will add another \$2 million from the \$65 million (or what remains of it), and it will continue funding in that way until the work is done. Bobs has agreed that if it fails to replenish the construction account for more than 59 days, it will pay a \$2 million penalty and if still not funded, the receiver can issue Receiver Certificates.

However, it will not front-load the entire \$65 million. (The court is not confident that Bobs is stuck at \$3 million/\$500,000 as the specific numbers, but Bobs is clear that it is not just going to turn over \$65 million up front.) Second, Bobs insists that its general contractor, Live Happy, replace the current general contractor, Unvarnished, who is defendants' preferred contractor.

Related to that, Live Happy will warrant its own work or work done under its subcontracts but will not warrant work done by Unvarnished or any subcontractor before Live Happy comes on board.

Bobs' theory is that the project can be completed for much less money than the receiver or defendants believe and that it can be completed quickly. Bobs further believes that the two parcels Hankey wants to buy will sell on the market for tens of millions of dollars more than Hankey is offering.

But to make sure, Bobs is willing to guarantee that the ultimate sale price of the two parcels will at least equal what Hankey is offering, by agreeing that any shortfall will come out of plaintiffs' share of the proceeds.

Defendants have also made an offer, but neither plaintiffs nor the receiver believe it is the best offer available. The court agrees.

The parties criticize the various deals. Defendants contend that Bobs is not acting out of altruism; rather, they argue, Bobs is trying to delay the completion and sale of the property in order to keep racking up interest on the loan, which defendants state is usurious. As a result, they argue, this is not "free money," as Bobs contends. To the contrary, they assert, the costs of

construction will be far less than the additional interest that will accrue to Bobs in the interim. Further, defendants suggest that the guarantee is really no guarantee at all because it will stand behind the Bobs loan, which will eat up whatever equity might otherwise exist. Defendants also don't like that they will lose control of the project. They contend that plaintiffs, and Live Happy as well, have no experience building luxury super-high-end homes like these and do not know what they are talking about or getting themselves into. And they are unhappy that they will have no power over the construction. While they will have a non-voting seat at the table, if Bobs and the Receiver agree on something, defendants cannot stop it from occurring without running to court.

The receiver (joined by defendants) points out that the \$3 million is not adequate. Instead, the receiver states that while there will be money in the ether, in fact there will be precious little actually available to do any work. That means, the receiver worries, that Bobs will have the ability essentially to call all of the shots, which means people will be running to court all the time, which will delay the project further. The concern is that Bobs will have a practical stranglehold on the project, giving Bobs effective total control. (The court notes, as does the receiver, that part of this issue is based on the very different budgets proposed by the receiver and by Bobs. That is, in turn, partially based on the notion that the receiver's budget is for the global project, not just the cost to complete the two properties Hankey offers to buy. Further, apparently Bobs' budget (as is defendants' budget) is more of a hard cost budget, but not the full cost-to-completion budget that the receiver discusses.) The receiver also notes that the lack of a single general contractor could lead to problems on sale. Usually when a buyer buys property from a developer and something goes wrong, the buyer can look to the builder to fix the problem. But here, Live Happy will (so it goes) blame Unvarnished for the problem and refuse to take responsibility, and the developer, 600 Spring, will be long gone or judgment proof. That problem will lead to a significant reduction in the purchase price because there is really no effective new home warranty.

Bobs responds to these concerns by suggesting that there will be no money in this project no matter what; Bobs has resigned itself to

the reality that it will lose money—it is just trying to cut its losses. And as to the GC, Bobs states that if it is going to fund and pay for the rest of the project, it only stands to reason that it not be saddled with a contractor that it thinks has not been honest. Rather, Bobs argues, Live Happy has every incentive to finish the project quickly and efficiently. As to the funding issue, Bobs argues that no one puts all of the construction loan out there immediately. When a bank loans money, it is doled out in construction draws that have to meet specific standards; this is not very different from that. True, Hankey is putting the full amount out at once, but Hankey is a buyer, not a lender. Bobs argues that the \$2 million penalty provision if Bobs delays is incentive enough to get the job done quickly. The receiver counters that up front funding is actually very common in the receivership world. Also, in the context of bank funding, the money is there and easily accessible because the bank is not an adverse party. Here, Bobs will control the money, and it is a party to a lawsuit. The incentives are therefore just a bit different. As to the warranty, Bobs does not disagree with what the receiver argues, at least in concept. But Bobs states that it is unreasonable to require it to warrant the work of others—especially those it does not trust (like Unvarnished). And to the extent that this warranty issue actually does have an impact on the purchase price, Bobs argues that it is plaintiffs, not defendants, who will bear the burden through the guarantee that the deal will generate no less than the Hankey deal.

On the other side, Bobs argues that it has gone above and beyond to try and meet everyone's needs. It notes that it is willing to fund the construction—including overruns—without even adding to the principal balance. Bobs suggests that this is not really a common offer under any scenario. Bobs states that it has looked at all of the concerns raised by the court and addressed them all—essentially by conceding every point. Bobs also reiterates that the best test of what property is worth is the market. And there is no real market value here by the receiver, Bobs states. There is no appraisal report put forth by the receiver showing some methodologically sound valuation and there has been no attempt to get any actual market reaction at all. Bobs, in contrast, has put forth detailed and reasoned appraisals showing, it claims, that there is significantly more value in the property than Hankey is willing to pay. Bobs is not asserting that the receiver is in defendants' pocket (or Hankey's pocket), Bobs believes that defendants are simply trying to keep their own contractor and therefore themselves in practical control.

And plaintiffs say defendants are not good people, and

defendants say plaintiffs are really not good people. At present, no one is attacking the receiver.

The court is somewhat flummoxed. It would seem that everyone ought to be on the same page. The receiver's duty is to protect the property and sell it with minimum risk and maximum return, and quickly. The court would think that plaintiffs and defendants would have the same interest. Maybe there will be money for the equity holders and maybe not. But the more money that comes in and the more quickly it comes in, the more likely it will be that the project will turn a profit (or at least less of a loss). As to Bobs, once the other debts are paid, Bobs will get paid what it is owed (it is, after all, a lender). If the interest rate is usurious, there are legal doctrines to deal with that. But again, the more money that comes in—and quickly—the more of its loan will be repaid with appropriate interest. And no one is arguing (to the best of the court's knowledge) that money actually paid out by Bobs is somehow suspect or should stand behind the equity. The court is just beyond unhappy that three parties with the same interests have such divergent views.

So what is a poor trial court to do? Pretty simply this: go back to basics. And the basics are these. First, the court is not a contractor,

property manager, or real estate developer.

Worse, the court is out of time (because Hankey is threatening to walk)

and cannot hold an evidentiary hearing to take evidence or hear experts. Second, the court does not want to become a property manager or contractor.

Third, the court appointed a neutral receiver who does have experience and whose job it is to look at issues dispassionately and without favor to one side or the other. Fourth, risk is bad; hard money is good. Fifth,

the resolution of this motion is committed to this court's discretion looking to the surrounding circumstances and facts, as well as fairness, justice, and the rights of the parties. (People v.

Riverside University (1973) 35 Cal.App.3d 572.) Relatedly, the court has attempted to consider all of the material facts and evidence. (Martin v. Alcoholic Beverage Appeals Board (1961) 55 Cal.2d 867.)

All of those factors tilt generally the same way: to approve the sale. True, there are dueling

financial models as to which option will provide the best return. While the court is not an economist, even the court can tell that much depends on the particular assumptions being made, many of which are hotly contested. The

receiver has no interest in the Hankey deal per se. The court knows of no issues or links that would cause the receiver to favor the defense over plaintiffs or a low ball offer from Hankey. The whole point of appointing the receiver was to have a person who could devote the time necessary as well as specialized skills in order to advise the court as to the best avenue to maximize value and minimize risk. While there are debates one could have with the receiver's methodology, the court puts weight on the receiver's advice, and that is as the law should be. That is not to say that the court is relieved of exercising its full and independent judgment. The receiver is not infallible, but neither are plaintiffs or defendants (or the court, for that matter). And the receiver's office is an arm of the court, not the other way 'round. But in the exercise of the court's independent judgment, it is not improper for the court to recognize the receiver's expertise and independence. In addition, time matters. The Hankey deal is a firm deal now. Subject to very few contingencies, the sale will close. (And the receiver is holding most of the money.) Under plaintiffs' proposal, the property will have to be built and marketed before that happens, and even then there are the inevitable delays. It might close higher; but then again, it might not. And unforeseen events can occur to disrupt the process or the value. And finally, the court is risk averse. True, the receiver needs to establish or demonstrate that consummating a sale at present is in the parties' best interest. (Cal-American Income Property Fund VII v. Brown Development Corp. (1982) 138 Cal.App.3d 268.) But the receiver does not need to demonstrate the need for a sale in general because the whole point of the enterprise is to sell the property. Further, the court is very concerned that if the court adopts Bobs' approach, it will become embroiled with ex parte applications over aspect after aspect of the construction. And the court is also not sure that Bobs has really taken the warranty issue into account. To be sure, 600 Spring can still be sued by a buyer. But, as set forth above, few buyers will be comforted by a warranty issued by an LLC that is dissolving or in the process of doing so.

To be clear, if the receiver were on the other side of this, the court would likely go with the other side.

And the court is making no finding of bad faith by plaintiffs. Quite the contrary, the court discounts defendants' assertion that this is just a bad faith way to wrest control of the project away from them. It does have that effect, but at a significant potential cost. The court believes plaintiffs have made a good faith and honest attempt to reach a deal that plaintiffs believe will benefit all. But at days' end, and after considering the various briefs and factors raised by the parties, the court will defer to the expertise of the expert it appointed to look at these issues and recommend an outcome that is in the best interest of both parties. The receiver's recommendation appears to be sound. And therefore, the motion is GRANTED. To be clear, defendants will need to sign a declaration under penalty of perjury as discussed at the last hearing: that they will not benefit directly or indirectly from the Hankey deal (other than through their ownership of 600 Spring). That means no winks and nods about future sweetheart deals or the like. And the court expects such a declaration to be enforceable. In this respect, the court treats defendants as fiduciaries at least of 600 Spring. And we all know what happens when a fiduciary makes a secret profit.

The court also notes that it might well condition this ruling on some provision being made for Bobs as it relates to these two properties. The court is aware that there is a dispute as to whether the Bobs loan is usurious. But the court does not believe that defendants are suggesting that Bobs did not actually lend any money. To the extent the Hankey purchase would wipe out Bobs' asserted Deed of Trust, the court will need to be sure that money is set aside for the Bobs loan, at least as to the principal attributable to these two properties. The failure to do that could well change the court's view.